

INDIAN ECONOMY &

BANKING

For SSC | UPSC | Railway | Banking | State PSC | Defence Exams

1. BASIC CONCEPTS

- > GDP (Gross Domestic Product): Total value of goods/services produced within a country in a year. Base year: 2011-12.
- > $GNP = GDP + \text{Net Factor Income from Abroad}$.
- > $NNP (\text{National Income}) = GNP - \text{Depreciation}$.
- > $\text{Per Capita Income} = \text{National Income} / \text{Population}$.
- > Inflation: Sustained increase in general price level. Measured by WPI and CPI.
- > WPI (Wholesale Price Index): Base year 2011-12. Published by Office of Economic Adviser, Ministry of Commerce.
- > CPI (Consumer Price Index): Base year 2012. Published by CSO/NSO. Used by RBI for inflation targeting (4% +/- 2%).
- > Deflation: Sustained decrease in price level. Stagflation: Inflation + Unemployment + Low growth.
- > $\text{Fiscal Deficit} = \text{Total Expenditure} - \text{Total Receipts (excluding borrowings)}$. Shows government borrowing.
- > $\text{Revenue Deficit} = \text{Revenue Expenditure} - \text{Revenue Receipts}$.
- > $\text{Primary Deficit} = \text{Fiscal Deficit} - \text{Interest Payments}$.
- > Balance of Payments (BoP): Record of all economic transactions between residents of a country and rest of world.
- > Current Account: Trade in goods/services, income, transfers. Capital Account: FDI, FPI, loans.

2. RESERVE BANK OF INDIA (RBI)

- > Established: April 1, 1935 (under RBI Act 1934). Nationalized: January 1, 1949.
- > Headquarters: Mumbai. Current Governor: Sanjay Malhotra (26th Governor, from Dec 2024).
- > Functions: Monetary authority, issuer of currency, banker to government, regulator of banking system, manager of forex, developmental role.
- > Monetary Policy Committee (MPC): 6 members (3 RBI + 3 external). Decides repo rate. Target: CPI inflation at 4%.

Key Rates:

- > Repo Rate: Rate at which RBI lends to commercial banks (short-term). Current ~6.25%.
- > Reverse Repo Rate: Rate at which RBI borrows from banks.
- > Bank Rate: Rate for long-term lending to banks (no collateral).
- > CRR (Cash Reserve Ratio): % of deposits banks must keep with RBI as cash. Currently ~4%.
- > SLR (Statutory Liquidity Ratio): % of deposits banks must invest in government securities. Currently ~18%.
- > MSF (Marginal Standing Facility): Emergency borrowing from RBI at higher rate.
- > LAF (Liquidity Adjustment Facility): Repo and Reverse Repo operations.

Important Facts:

- > RBI prints all notes (except Re 1 coin/note - issued by Ministry of Finance).
- > Rs 2000 note: Withdrawn from circulation (2023). Minimum denomination: Rs 1.
- > RBI acts as lender of last resort to banks.
- > Payment Regulatory Board: Constituted by RBI for regulation of payment systems.

3. BANKING SYSTEM

Types of Banks:

- > Scheduled Commercial Banks: Public sector (12), Private sector (21), Foreign banks, Regional Rural Banks, Small Finance Banks, Payments Banks.
- > Public Sector Banks (12): SBI + 11 nationalized banks (after 2020 merger).
- > 1st bank nationalization: 1969 (14 banks, PM Indira Gandhi). 2nd: 1980 (6 banks).
- > SBI: Oldest commercial bank (originally Imperial Bank of India, 1806). Nationalized 1955.
- > Small Finance Banks: For unserved/underserved sections. Min 75% lending to priority sector.
- > Payments Banks: Cannot lend. Max deposit Rs 2 lakh. Examples: Paytm, Airtel, India Post.

Important Banking Terms:

- > NPA (Non-Performing Asset): Loan overdue for 90+ days.
- > CASA Ratio: Current Account + Savings Account deposits as % of total deposits.
- > Basel Norms: International banking regulations (Basel III currently). Capital adequacy norms.
- > NBFC: Non-Banking Financial Companies. Regulated by RBI but not banks.
- > DICGC: Deposit Insurance up to Rs 5 lakh per depositor per bank.
- > KYC: Know Your Customer. Mandatory for opening bank accounts.
- > RTGS: Real Time Gross Settlement (min Rs 2 lakh). NEFT: National Electronic Funds Transfer. IMPS: Immediate Payment Service. UPI: Unified Payments Interface.

4. TAXATION

Direct Taxes (paid directly by person):

- > Income Tax: Progressive tax on income. Administered by CBDT. New tax regime is default.
- > Corporate Tax: Tax on company profits. Domestic: 22-25%. New manufacturing: 15%.
- > Capital Gains Tax: On profit from sale of assets. Short-term and Long-term.

Indirect Taxes:

- > GST (Goods & Services Tax): Introduced July 1, 2017 (101st Amendment). 'One Nation One Tax'.
- > GST Rates: 0%, 5%, 12%, 18%, 28%. Gold: 3%. Rough diamonds: 0.25%.
- > GST Council (Art 279A): Chaired by Union Finance Minister. Decides rates.
- > CGST (Centre), SGST (State), IGST (Interstate), UTGST (Union Territories).
- > Customs Duty: Tax on imports/exports. Administered by CBIC.

Important Bodies:

- > CBDT: Central Board of Direct Taxes (under Ministry of Finance).
- > CBIC: Central Board of Indirect Taxes and Customs.
- > Finance Commission (Art 280): Recommends tax distribution between Centre and States. Current: 16th FC (Arvind Panagariya).

5. FIVE YEAR PLANS & NITI AAYOG

- > Planning Commission: Established 1950, chaired by PM. Replaced by NITI Aayog (Jan 1, 2015).
- > NITI Aayog: National Institution for Transforming India. Chairman: PM. CEO: BVR Subrahmanyam.
- > Vice Chairman: Suman Bery. Focus: cooperative federalism, bottom-up approach.
- > First Five Year Plan (1951-56): Based on Harrod-Domar model. Focus: Agriculture.
- > Second Plan (1956-61): Mahalanobis model. Focus: Heavy industries & industrialization.
- > Fourth Plan (1969-74): Growth with stability and social justice.
- > 12th Plan (2012-17): Last Five Year Plan. 'Faster, More Inclusive, Sustainable Growth'.
- > India's GDP growth FY26: 7.4% (Economic Survey). FY27 projected: 6.8-7.2%.

6. IMPORTANT GOVERNMENT SCHEMES

- > PM Jan Dhan Yojana (2014): Financial inclusion. Zero balance accounts. Insurance + overdraft.
- > PM Mudra Yojana (2015): Loans to micro enterprises. Shishu (<Rs 50K), Kishore (50K-5L), Tarun (5L-10L).
- > PM Kisan Samman Nidhi (2019): Rs 6000/year to small farmers in 3 installments.
- > Ayushman Bharat (2018): Health insurance Rs 5 lakh/family/year for BPL families.
- > Make in India (2014): Boost manufacturing. Target: 25% of GDP from manufacturing.
- > Digital India (2015): Transform India into digitally empowered society.
- > Startup India (2016): Promote entrepreneurship. Tax exemptions for startups.
- > Atal Pension Yojana: Guaranteed pension for unorganized sector (18-40 years age).
- > PM Vishwakarma Yojana (2023): Support for traditional artisans and craftspeople.
- > PLI Scheme (Production Linked Incentive): For 14 sectors to boost manufacturing.
- > National Infrastructure Pipeline (NIP): Rs 111 lakh crore investment plan.
- > PM Gati Shakti (2021): Multimodal connectivity master plan.

7. INTERNATIONAL ORGANISATIONS

- > IMF: International Monetary Fund. HQ: Washington DC. MD: Kristalina Georgieva. 190 members. SDR currency.
- > World Bank: HQ: Washington DC. President: Ajay Banga (Indian-American). Provides loans for development.
- > WTO: World Trade Organization. HQ: Geneva. DG: Ngozi Okonjo-Iweala. 164 members. India founding member.
- > ADB: Asian Development Bank. HQ: Manila. President: Masato Kanda (Japan). India: 2nd largest shareholder.
- > AIIB: Asian Infrastructure Investment Bank. HQ: Beijing. President: Jin Liqun. India: 2nd largest shareholder.
- > NDB: New Development Bank (BRICS Bank). HQ: Shanghai. President: Dilma Rousseff.
- > OECD: Organisation for Economic Cooperation and Development. 38 members. India not member but key partner.

8. BUDGET 2026-27 KEY HIGHLIGHTS

- > Presented by FM Nirmala Sitharaman on February 1, 2026 (her 9th Budget - record).
- > Total Budget size: Rs 53.5 lakh crore. Capital expenditure: Rs 12.2 lakh crore.
- > Fiscal Deficit target: 4.3% of GDP. GDP growth projected: 6.8-7.2% for FY27.
- > 7 new high-speed rail corridors approved.
- > Biopharma SHAKTI mission: Rs 10,000 crore over 5 years.
- > Defence allocation: ~Rs 7.15 lakh crore (15% increase).
- > Tax holiday for global data centres (until 2047). STT hiked on F&O.
- > Theme: 'Yuva Shakti Driven Budget'. Focus on manufacturing, MSMEs, infrastructure.
- > India-UK FTA came into force on July 15, 2026 (signed July 24, 2025).